

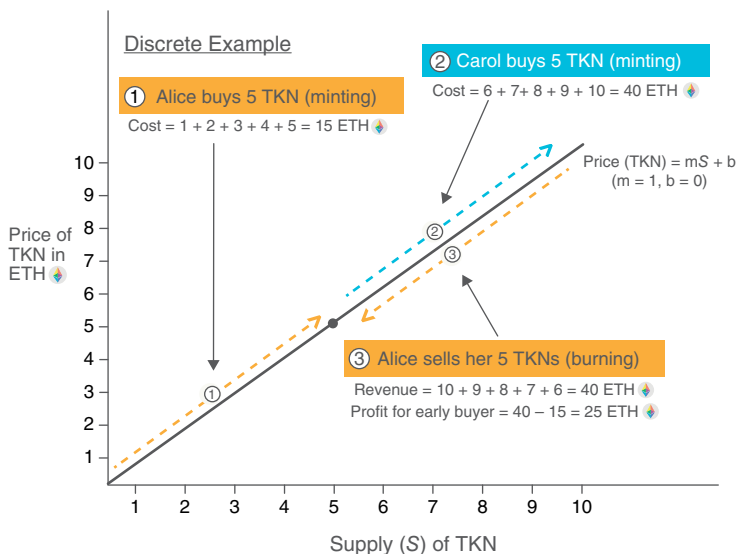


Figure 4.1 Linear bonding curve

beyond their purchase price would allow them to sell back against the curve at a higher price point (Figure 4.1).

The mechanics of a bonding curve are relatively straightforward. The curve can be represented as a single smart contract with options for purchasing and selling the underlying token. The token to be sold can have either an uncapped supply with the bonding curve as an authorized minter or a predetermined maximum supply that is escrowed in the bonding curve contract. As users purchase the token, the bonding curve escrows the incoming funding for the point in the future when they may want to sell back against the curve.